Olympiad Test Paper — Social Science (Class 7) — Paper 3

Chapter 20: Banks and the Magic of Finance

Paper 3 — (progressively harder)

Subject	Social Science (NCERT Class 7)
Chapter	20 — Banks and the Magic of Finance
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: **+4** for each correct answer · **−1** for each wrong answer · **0** if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Classic traps: confusing compound growth with simple one-time interest; assuming a bank holds every rupee in a vault rather than lending most out at a higher rate than it pays; treating the RBI as a place ordinary people bank instead of the banker to and regulator of banks; believing shares are a guaranteed, risk-free saving; and thinking a genuine bank would ever phone you for your OTP, PIN or password. Do not write on this paper — mark answers on your answer sheet.

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1. A town gets a new highway, a new hospital and a new branch of a commercial bank in the same year. Sorting these into infrastructure types, the bank belongs with:

(A) physical infrastructure, the same group as the highway
(B) social infrastructure, the same group as the hospital
(C) financial infrastructure, while the highway is physical and the hospital is social
(D) no infrastructure at all, because a bank only stores money

2. Why is financial infrastructure said to 'complement' physical infrastructure rather than replace it?

(A) financial infrastructure is more important, so it makes roads and ports unnecessary
(B) physical infrastructure moves goods and people, while financial infrastructure moves the money that lets those projects be built and used - the two work together
(C) financial infrastructure does exactly the same job as roads, just under a different name
(D) the two have nothing to do with each other and never interact

3. A planner lists four facilities. Which one is NOT part of financial infrastructure?

(A) a commercial bank branch taking deposits and giving loans
(B) a stock market where company shares are bought and sold
(C) a national power grid carrying electricity between states
(D) a digital payment system moving rupees between accounts

4. Two countries each build excellent roads and ports, but only one also has strong banks, a stock market and reliable digital payments. The chapter's reasoning suggests the second country can:

(A) do nothing more than the first, because finance has no effect on roads and ports
(B) stop maintaining its roads and ports, since finance replaces them
(C) put its physical infrastructure to fuller use, because money can be raised, lent and moved quickly to support trade and building
(D) only help its richest citizens, because finance never reaches ordinary people

5. A shopkeeper deposits 90,000 of cash takings. By next morning the bank has lent 70,000 of it to a farmer. This shows that a bank:

(A) has lost the shopkeeper's money and cannot return it
(B) keeps only part of deposits as reserves and lends the rest out, so deposits do not sit idle
(C) must keep every rupee untouched in a locker for the depositor
(D) has printed 70,000 in new currency to give the farmer

6. A family wants an account where money is locked away for three years to earn the highest interest, and a separate account a clothing business will use for dozens of payments every day. The best pair is:

(A) a current account for the locked savings, and a fixed deposit for the daily business
(B) a savings account for both purposes
(C) a fixed deposit for the locked-away savings, and a current account for the daily-use business money
(D) a fixed deposit for both purposes

7. Compared with a current account, why does a fixed deposit usually pay a higher rate of interest?

(A) because fixed-deposit holders are always wealthier than current-account holders
(B) because the bank can rely on keeping that money for a set period, so it can confidently lend it out for longer
(C) because a fixed deposit is a kind of company share that pays a dividend
(D) because the RBI orders banks to pay more on every fixed deposit

8. A student says a 'deposit' and a 'loan' are the same thing because both involve money and a bank. The correct distinction is:

(A) in a deposit you take money from the bank; in a loan you give money to the bank
(B) both mean money the bank gives away free, with no interest either way

(C) in a deposit you give money to the bank and may earn interest; in a loan you take money from the bank and must repay it with interest

(D) a deposit must be repaid with interest while a loan earns you interest

9. A grandmother keeps cash hidden at home; her granddaughter keeps the same amount in a savings account. After a year, the key difference is that the granddaughter's money:

(A) earned some interest and was lent out to help others, while the cash at home stayed idle and earned nothing

(B) was less safe than cash hidden at home and probably lost

(C) turned into company shares without her choosing to buy any

(D) was printed into new notes by the bank for its own use

10. A bank advertises 'your money is always safe with us, in your account, untouched'. Which part of this is misleading according to the chapter?

(A) the word 'safe' - bank deposits are actually riskier than cash at home

(B) the word 'untouched' - the bank lends most of your deposit out, even though your right to withdraw stays safe

(C) the whole claim - banks never look after deposits at all

(D) nothing - banks really do leave every rupee untouched in a vault

11. 1,000 is placed at 10% interest compounded yearly. The chapter's idea of compounding means that after three years the amount is:

(A) 1,331, because each year interest is earned on the new, larger balance

(B) 1,300, because the same 100 is added each year

(C) 1,030, because interest is added only once

(D) 1,000, because compounding does not change the balance

12. Money A earns simple interest of 10% on 1,000 once a year for 3 years; Money B earns 10% compounded yearly for 3 years on the same 1,000. The total interest earned is:

(A) the same for both, because the rate is identical

(B) 300 for A and 331 for B, so compounding earns 31 more

(C) more for A, because simple interest is always larger

(D) 331 for A and 300 for B, because simple interest compounds

13. On a chessboard, one grain is placed on the first square and the number is doubled on each later square. The 10th square therefore holds:

(A) 20 grains, because you add 2 each time(B) 10 grains, one for each square so far

(C) 512 grains, because doubling repeatedly makes the count rise extremely fast

(D) 100 grains, because the count rises in even hundreds

14. A bank shows a saver a chart: amount in a simple-interest account rising in a straight line, and amount in a compound-interest account rising in a curve that bends upward over the years. The upward bend happens because:

(A) the bank quietly raises the interest rate each year on the compound account

(B) each year's interest is added to the balance and then itself earns interest, so growth speeds up

(C) the saver deposits extra money into the compound account every year

(D) compound interest ignores the principal and grows on its own

15. A father puts a sum aside for his newborn for 18 years; a neighbour withdraws and re-spends his interest every year so it never builds up. The chapter's lesson is that the father's money will likely:

(A) grow more slowly, because money left alone loses value

(B) grow by the same amount, since the rate is what matters, not the time

(C) shrink, because banks reduce balances that are not touched

(D) grow much faster, because leaving interest to compound lets it earn interest on interest year after year

16. The word 'principal' (from Latin for 'chief') is best matched in a loan to:

(A) the total interest the borrower will pay over the years

(B) the original sum borrowed, on top of which interest is later charged

(C) the bank manager who approves the loan(D) the benchmark rate the RBI sets

17. 'Credit' comes from the Latin credere, 'to trust'. Which situation best captures why that root fits how a bank lends?

(A) the bank prints new money it does not expect back

(B) the borrower gives the bank money to keep safe

(C) the bank sells the borrower a share of a company

(D) the bank hands over money now, trusting the borrower will repay it later with interest

18. A baker borrows 50,000 to buy an oven and repays 56,000 over a year. The 6,000 difference is:

(A) the principal of the loan (B) a dividend the baker earned

(C) interest - the cost of borrowing the money for that time

(D) a fine the RBI charged the baker

19. When a bank decides whether to give a loan, the deepest reason it checks whether the borrower can repay is that:

(A) the bank prints the loan money, so losing it costs the bank nothing

(B) the money it lends is largely other people's deposits, so unrepaid loans put depositors' savings and the bank itself at risk

(C) loans are gifts the bank hopes will be returned out of kindness

(D) the RBI repays any loan the borrower fails to pay

20. A bank pays depositors 4% and charges borrowers 9%. On 2,00,000 of deposits, of which it lends out 1,50,000, its rough yearly position is:

(A) pay 18,000 and earn 8,000 - a net loss of 10,000

(B) earn nothing, because it pays and charges the same

(C) pay 8,000 in interest, earn 13,500 in interest - a net gain of 5,500

(D) earn 26,000, by charging 13% on everything

21. Why can a bank afford to pay you any interest at all on your savings deposit?

(A) because it keeps your money idle and the government pays it to do so

(B) because it prints fresh notes equal to the interest each year

(C) because borrowers refuse to repay, leaving the bank with extra

(D) because it lends most of your deposit to borrowers at a higher rate and shares part of that earning back with you

22. Of these, which is the clearest example of your bank deposit 'working in the economy' rather than lying idle?

(A) your deposit is sealed in a locker with your name on it for a year

(B) part of your deposit is lent to a farmer to buy seeds for the next harvest

(C) your deposit is converted into gold bars stored in a vault

(D) your deposit is mailed back to you in cash each month

23. Two villages each save the same amount. In Village P most adults keep cash buried at home; in Village Q most keep it in bank deposits. The chapter suggests Village Q's economy benefits more because:

(A) banks burn deposited money for safety, removing it from circulation

(B) buried cash earns interest while deposits do not

(C) deposits are sent abroad, helping other countries instead

(D) the deposited savings are lent out as loans for homes, farms and businesses, putting the money to work locally and beyond

24. The Jan Dhan Yojana (2014) is described as making banking 'inclusive'. The deepest aim behind opening accounts for everyone was to:

(A) limit banking to people who already had accounts and savings

(B) replace banks with a return to barter for the poor

(C) hand out free money to every account holder each month

(D) bring savings, payments and credit within reach of all, so even those once left out can save safely and borrow when needed

25. Match each landmark to its year: the founding of the Reserve Bank of India, and the launch of the Jan Dhan Yojana.

(A) RBI founded 2014; Jan Dhan launched 1935

(B) RBI founded 1950; Jan Dhan launched 1853

(C) RBI founded 1853; Jan Dhan launched 1950

(D) RBI founded 1935; Jan Dhan launched 2014

26. A person without a bank account is paid only in cash, cannot easily save safely, and must borrow from a moneylender at a steep rate. Jan Dhan-style inclusive banking would most directly help by:

(A) banning them from ever borrowing money again

(B) forcing them to invest all their cash in company shares

(C) giving them a bank account so they can save securely and one day access formal credit at fairer terms

(D) removing the need for any savings at all

27. A child asks to open a savings account directly at the Reserve Bank of India. The correct response is:

(A) the RBI is the central bank for banks and the government, not a place where ordinary people open accounts; the child should use a commercial bank

(B) yes, the RBI is the main bank where all citizens keep their savings

(C) yes, but only adults may open RBI savings accounts

(D) no, because the RBI does not deal with money at all

28. Calling the RBI the 'banker to banks' captures which relationship?

(A) the RBI competes with commercial banks for ordinary customers' savings

(B) commercial banks hold accounts with, and can borrow from, the RBI, just as people hold accounts with commercial banks

(C) the RBI is owned and run by the largest commercial bank

(D) the RBI lends only to foreign banks, never to Indian ones

29. Which task is performed by the RBI but NOT by an ordinary commercial bank?

(A) printing the country's currency notes(B) accepting deposits from individual savers

(C) giving home loans to families

(D) letting customers withdraw cash from their accounts

30. When we say the RBI 'supervises' the banking system, the most accurate meaning is that it:

(A) takes over and runs the daily branch business of every bank

(B) advertises against banks to win away their customers

(C) sets rules and watches over banks to keep the whole system safe and sound

(D) issues company shares on behalf of the banks

31. A newspaper reports the RBI doing four things in a month. Which one falls OUTSIDE its described roles?

(A) printing new currency notes

(B) opening a chain of school-fee savings accounts for individual students

(C) changing the benchmark interest rate(D) supervising commercial banks for safety

32. A student writes: 'The RBI is just a bigger commercial bank, so I should keep my biggest savings there for safety.' The best correction is:

(A) the RBI is the safest bank for personal savings, so the plan is wise

(B) the RBI is not a bank at all and has no link to savings

(C) the RBI keeps savings but pays no interest, so choose carefully

(D) the RBI is the central bank that serves banks and the government, not individuals; personal savings go to a commercial bank

33. The RBI raises its benchmark interest rate. The most likely chain of effects across the economy is:

(A) banks must pay more to borrow from the RBI, so they charge customers more, and borrowing across the economy tends to slow

(B) banks lend more cheaply, so borrowing speeds up everywhere

(C) share prices are fixed by the new rate and stop changing

(D) the price of every single product is set directly by the RBI

34. Prices in shops keep climbing month after month, and the same 100 buys less than it did a year ago. This situation is:

(A) compounding - money earning interest on interest

(B) a dividend - a profit shared with shareholders

(C) a benchmark rate cut by the RBI

(D) inflation - a general rise in prices that lowers the buying power of money

35. Why does the chapter present keeping inflation in check as one of the RBI's important goals?

(A) because stable prices protect the value of people's savings and incomes from being eroded

(B) because rising prices always make everyone richer, which the RBI wants

(C) because the value of money does not affect ordinary life

(D) because higher inflation forces banks to pay more interest, helping savers

36. A family is deciding whether to take a large home loan now or wait. The RBI announces it has cut the benchmark interest rate. The most reasonable expectation is that:

(A) loan interest must rise, because a rate cut makes borrowing dearer

(B) the home's price is now fixed by the RBI at the lower rate

(C) banks may now lend more cheaply, so loan interest could fall, making borrowing now somewhat more affordable

(D) the family will be paid a dividend for taking the loan

37. The RBI is sometimes asked to balance keeping inflation low with keeping borrowing affordable. Raising the benchmark rate sharply to fight inflation can also:

(A) make loans more expensive, so households and businesses may borrow and spend less

(B) make loans free, since fighting inflation removes all interest

(C) have no effect on borrowing at all, since the two are unrelated

(D) force the stock market to close until prices stop rising

38. You write a cheque to a shopkeeper and your friend pays the same shopkeeper by instant electronic transfer. In both cases, what fundamentally happens to the money?

(A) brand-new rupees are created each time a payment is made

(B) the shopkeeper receives company shares instead of money

(C) physical notes are mailed between the two banks

(D) the same rupees move from one bank account to another; only the speed and method differ

39. Why is an electronic transfer usually preferred over a paper cheque for an urgent payment?

(A) a cheque creates new money instantly while a transfer does not

(B) it moves money between accounts almost instantly, while a cheque takes time to clear

(C) an electronic transfer is the only legal way to pay a shopkeeper

(D) a cheque moves shares while a transfer moves money

40. A cheque is best described as which kind of instruction?

(A) a unit of ownership entitling the holder to a share of company profit

(B) a promise by the RBI to print new currency on demand

(C) a record of interest the bank has added to your savings

(D) a written order telling your bank to pay a named person a stated sum from your account

41. UPI lets a customer scan a code on a phone and pay a vegetable seller in seconds. The chapter would classify UPI as:

(A) a fast electronic way to move existing rupees between bank accounts - a method, not a new currency

(B) a brand-new type of money that has replaced the rupee

(C) a form of barter, swapping goods without money

(D) a kind of company share traded for vegetables

42. The chapter calls UPI 'India's gift to the world'. The most fitting reason for that description is that UPI:

(A) was invented abroad and merely copied into India

(B) is an Indian-built instant payment system, used widely on smartphones, that other countries have noticed and adopted

(C) is a paper-based system older than the cheque

(D) is the official name of India's central bank

43. A traveller has no cash but a charged phone with a UPI app linked to her bank. At a roadside stall accepting UPI, paying by phone works because:

(A) UPI instantly moves rupees from her bank account to the stall-owner's bank account

(B) the phone prints temporary currency notes for the stall

(C) the app converts her account into company shares to trade

(D) the stall-owner mails her a cheque in return

44. A unit of ownership in a company, bought and sold on the stock market, which can make the buyer a part-owner, is a:

(A) fixed deposit

(B) cheque

(C) share

(D) loan

45. If you buy 10 shares in a company that has issued one lakh shares in total, you become:

(A) a very small part-owner of the company, holding a tiny fraction of it

(B) the full owner of the entire company

(C) an employee whom the company must pay a salary

(D) a lender to the company who is owed fixed interest

46. A company you own shares in announces a good year and pays out part of its profit to shareholders. What you receive is a:

(A) dividend - your share of the company's profit

(B) interest payment, like that on a savings deposit

(C) repayment of a loan you gave the company

(D) refund of the original price you paid for the shares

47. A shareholder can gain in two main ways. Which pair correctly names them?

(A) receiving a dividend when the company profits, and selling the share for more than it was bought when its price rises

(B) earning fixed interest each month, and a guaranteed refund at year-end

(C) collecting a salary from the company, and a free new share each year

(D) being repaid the principal with interest, like a depositor

48. The stock market belongs to the same broad category of infrastructure as a bank because both:

(A) are part of transport infrastructure, moving goods and people

(B) are part of financial infrastructure - the network that moves and manages money

(C) are part of social infrastructure, like schools and hospitals

(D) are part of energy infrastructure, like grids and pipelines

49. A friend claims: 'Putting money in shares is just like a savings account - it is sure to grow every year.' The strongest correction is:

(A) shares always grow faster than savings and can never lose value

(B) a savings account is far riskier than shares, so shares are the safe choice

(C) shares can rise OR fall with the company and the market, so they carry real risk, unlike a fixed-interest savings deposit

(D) shares and savings are identical, so the claim is correct

50. Cautious Asha wants her money safe with a small, certain return; bold Bina is happy to risk losses for a chance at higher gains. The best simple match is:

(A) shares for Asha, and a fixed deposit for Bina

(B) shares for both, since shares are always safe

(C) a savings or fixed deposit for Asha, and shares for Bina

(D) a fixed deposit for both, since deposits can lose value

51. Why can a savings deposit promise a known return while a share cannot?

(A) a deposit pays interest set by the bank, while a share's value depends on the company's performance and the market, which can rise or fall

(B) a share pays interest set by the bank, while a deposit's value floats freely

(C) both pay the same fixed dividend, so neither return is known

(D) the RBI guarantees every share's gain but not deposit interest

52. A caller says, 'I'm from your bank's security team; to protect your account, please read out the OTP we just sent.' The correct action is:

(A) share the OTP at once, since the caller said it is for your safety

(B) share the OTP and your PIN together to be extra safe

(C) refuse and hang up - a genuine bank never asks for your OTP - and report it on the cyber-fraud helpline 1930

(D) send a small payment to verify your account is protected

53. Which set of habits best protects you from cyber-fraud with digital money?

(A) write your PIN on the back of your card so you never forget it

(B) share your OTP only with callers who say they are from the bank

(C) post your password in a family group so relatives can help you

(D) never share your OTP, PIN or password with anyone, and report fraud attempts on the helpline 1930

54. What single principle explains why each of 'never share your OTP', 'never share your PIN' and 'never write your password down where others can see it' is good advice?

(A) banks regularly need them, so you should keep changing them daily

(B) they are only at risk from foreigners, so locals can be trusted with them

(C) they matter only for shares, not for ordinary bank accounts

(D) these secrets are the keys to your money, and a genuine bank never needs them from you, so anyone seeking them intends fraud

55. The words 'bank' and 'bankrupt' share a common root. The link is:

(A) both come from the Italian banca ('bench'); a failed moneylender's banca rotta, or 'broken bench', gave us 'bankrupt'

(B) both come from a word meaning 'gold vault', the bank being full and the bankrupt empty

(C) 'bank' comes from 'cheque' and 'bankrupt' from 'currency'

(D) both come from the Latin for 'to trust', the same root as 'credit'

56. 'Finance' comes from the Latin finis ('end'), once meaning the settling of a debt. Its modern meaning has broadened to:

(A) the building of roads, bridges and ports

(B) the management of money - saving, lending and investing

(C) the printing of currency notes alone

(D) the trading of goods by barter without money

57. A student writes three claims: (1) 'a bank just stores my money untouched in a locker'; (2) 'the RBI is the bank where I should open my account'; (3) 'shares are a safe, sure way to grow money.' How many of the three are wrong?

(A) only one is wrong, the other two are correct

(B) only two are wrong, the third is correct(C) none is wrong, all three are correct

(D) all three - banks lend most deposits out, the RBI is the banker to banks not for personal accounts, and shares carry real risk

58. A saver puts 50,000 in a fixed deposit at 8% compounded yearly. The chapter's idea of compounding means that after two years the amount is:

(A) 58,000, because 4,000 is added each year

(B) 54,000, because interest is added only once

(C) 50,000, because a fixed deposit does not grow

(D) 58,320, because the second year's interest is earned on the larger first-year balance

59. A microloan scheme lends a small trader 800 to buy stock, charging 25% per year compounded; she repays after two years. The total she owes is:

(A) 1,250, because the second year's interest is charged on the grown balance

(B) 1,200, because 200 is added each year

(C) 1,000, because interest is charged only once

(D) 800, because the loan amount never changes

60. An adult deposits savings, takes a home loan, pays bills by UPI, and buys a few company shares. Which statement about these four acts is correct?

(A) the deposit, loan and share are all guaranteed to grow at the same fixed rate

(B) the UPI payment creates new money, while the other three move old money

(C) the loan earns the person interest, just as the deposit does

(D) the deposit and the share both involve giving money out, but only the deposit is safe with a known return, while the share carries risk and the loan must be repaid with interest

Solutions — Social Science (Class 7), Chapter 20: Banks and the Magic of Finance — Paper 3

Paper 3 — (progressively harder)

Marking: **+4** correct, **−1** wrong, **0** unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	C	11	A	21	D	31	B	41	A	51	A
2	B	12	B	22	B	32	D	42	B	52	C
3	C	13	C	23	D	33	A	43	A	53	D
4	C	14	B	24	D	34	D	44	C	54	D
5	B	15	D	25	D	35	A	45	A	55	A
6	C	16	B	26	C	36	C	46	A	56	B
7	B	17	D	27	A	37	A	47	A	57	D
8	C	18	C	28	B	38	D	48	B	58	D
9	A	19	B	29	A	39	B	49	C	59	A
10	B	20	C	30	C	40	D	50	C	60	D

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (C) Financial infrastructure is the network of banks, payment systems, stock markets and institutions that move and manage money, so the bank goes there. Roads are physical infrastructure and hospitals are social infrastructure. Grouping the bank with the highway confuses moving money with moving traffic; grouping it with the hospital confuses finance with welfare services; and a bank is genuine infrastructure, not nothing, because it does far more than store money - it channels savings into loans.

2. (B) To complement means to work alongside and complete. Roads, ports and grids move goods and energy; banks and payment systems move the money that funds and operates them, so each strengthens the other. It does not make physical infrastructure unnecessary, it does not do the identical job (one moves money, the other moves goods), and the very word 'complement' rules out the idea that they have nothing to do with each other.

3. (C) Financial infrastructure is the system that moves and manages money: banks, stock markets and payment systems all qualify. A power grid carries electricity, not money, so it is physical-utility infrastructure. The three rejected options each handle money flows, which is exactly what makes them financial infrastructure.

4. (C) Financial infrastructure complements physical infrastructure: with banks, markets and fast payments, businesses can borrow to build, savers can fund projects and money moves quickly, so the roads and ports get used to their full potential. Finance does affect physical projects, so 'no effect' is wrong; it complements rather than replaces, so the roads still need upkeep; and inclusive banking aims to reach everyone, not just the rich.

5. (B) Banks keep some deposits as reserves and lend most of the rest, connecting savers to borrowers - exactly the locker-myth correction. The shopkeeper can still withdraw because the bank manages reserves and inflows; the money is not lost. A bank that kept every rupee idle would earn nothing and could pay no interest, and only the RBI prints currency - a commercial bank lends existing rupees, it does not create new notes.

6. (C) A fixed deposit locks money for a set period at higher interest, ideal for the savings. A current account suits a business making many transactions a day. Swapping them is wrong because a current account is not for locking money up and a fixed deposit cannot be drawn on dozens of times a day. A savings account suits gentle saving with easy withdrawals, not heavy daily business; and a fixed deposit cannot serve daily transactions, so 'both' fails in each case.

7. (B) A bank can plan with money it knows will stay for a fixed term, lending it out reliably and earning more, so it shares more of that return as higher interest. It is the certainty of the term, not the wealth of the holder, that matters. A fixed deposit is a deposit, not a share, so it earns interest, not a dividend; and the higher rate flows from the bank's own lending logic, not from a blanket RBI order.

8. (C) A deposit is money you place in the bank, withdrawable and often interest-earning for you; a loan is money the bank gives you that you repay later with interest you pay. The first wrong option reverses the directions; the second ignores that interest flows in both arrangements; and the last swaps who pays whom - a depositor earns interest, a borrower pays it.

9. (A) A savings account keeps money safe, pays some interest and - because the bank lends most deposits out - puts the money to work in the economy. Hidden cash simply sits idle. A bank deposit is safer, not less safe, than cash at home; a savings deposit does not become shares unless you buy them; and a commercial bank lends existing rupees, it does not print money.

10. (B) Your account balance and your right to withdraw are kept safe, but the actual rupees are not left untouched - the bank lends most of them out, keeping only reserves. So 'untouched' is the misleading word. 'Safe' is fair, since deposits are safer than hidden cash; banks clearly do look after deposits; and the last option simply restates the locker myth the chapter corrects.

11. (A) Compounding means earning interest on interest. Year 1: 1,000 grows to 1,100. Year 2: 1,100 grows to 1,210. Year 3: 1,210 grows to 1,331. Adding a flat 100 each year (1,300) is simple interest, not compounding; 1,030 adds interest only once; and 1,000 ignores any growth. The slightly-more-than-1,300 result is the very magic of compounding.

12. (B) Simple interest adds 100 (10% of 1,000) each year, so A earns 100 + 100 + 100 = 300. Compounding earns on the growing balance: 1,000 reaches 1,331, an interest of 331. The extra 31 is interest-on-interest. Equal rates do not give equal totals once compounding is involved; simple interest is the smaller, not larger, total; and it is the compound figure (331), not the simple one, that exceeds 300.

13. (C) Doubling from 1 gives 1, 2, 4, 8, 16, 32, 64, 128, 256, 512 on squares 1 to 10, so the 10th square has 512. The chessboard story illustrates how compounding (repeated doubling) explodes upward. Adding 2 each time (20) is simple growth, not doubling; one grain per square (10) ignores doubling entirely; and the rise is exponential, not in tidy hundreds.

14. (B) A compound balance grows on its previous total, so the interest added each year is larger than the year before, bending the line upward - that is interest-on-interest. The rate stays the same; the bend comes from the method, not a rising rate. No new deposits are needed; the same principal grows. And compounding builds on the principal plus accumulated interest - it does not ignore the principal.

15. (D) Letting interest stay in the account means it joins the balance and earns further interest - compounding, which is strongest over long periods like 18 years. The neighbour breaks the chain by withdrawing interest, so his money grows only by simple steps. Untouched money does not lose value or shrink in a savings account; and time, not just rate, drives compounding, so the totals will differ greatly.

16. (B) The principal is the chief or original sum lent or saved, before interest. Interest is the extra charged on top, so it is not the principal. The word does not name a person such as a manager, despite sounding like it; and the benchmark rate is the RBI's lending rate, a different idea entirely.

17. (D) Credit is money lent in the trust that it will be repaid - exactly a loan given today against a promise to repay tomorrow with interest. Printing money is the RBI's role and is not lending on trust; giving money to keep safe is a deposit, the reverse direction; and selling a share is a stock-market transaction, not credit.

18. (C) A loan is repaid with interest; the extra 6,000 over the 50,000 borrowed is that interest, the price of using the bank's money. The 50,000 is the principal, not the extra; a dividend is a shareholder's profit share, not a borrower's payment; and the RBI does not fine individual borrowers - the bank charges interest.

19. (B) Banks lend mostly from depositors' money, so a loan that is not repaid threatens both the bank's survival and savers' funds - hence careful checks. The bank does not print loan money; it lends real deposits. A loan is credit given in trust of repayment with interest, not a gift. And the RBI does not cover defaulted private loans - that is the bank's risk to manage.

20. (C) Interest paid is 4% of 2,00,000 = 8,000. Interest earned is 9% of the 1,50,000 lent = 13,500. Net = 13,500 - 8,000 = 5,500, the gap between charging more than it pays. Swapping the rates onto the wrong sums gives the false loss; the rates are not equal (9% versus 4%); and 13% on everything invents a rate that does not exist.

21. (D) The bank earns on the gap between the higher interest it charges borrowers and the lower interest it pays savers; that earning lets it pay you. Idle money earns nothing, so it could not fund interest; banks do not print money; and unrepaid loans are losses, not a source of interest for depositors.

22. (B) Banks lend most deposits out, so your savings funding a farmer's seeds is the deposit at work, connecting savers and borrowers. A sealed, untouched locker is the very myth the chapter rejects; turning deposits into stored gold would still leave them idle; and posting the cash back would simply remove it from the banking system.

23. (D) Deposited savings fund loans for homes, businesses and farms, so the money circulates and supports growth - buried cash cannot. Banks do not burn deposits; deposits earn interest while buried cash earns none, so the comparison is reversed in one option; and deposits chiefly fund domestic lending, not a wholesale export of money.

24. (D) Inclusive banking means the benefits of banking - safe savings, easy payments and access to credit - reach everyone, not just the well-off. It widens access rather than limiting it; it brings people into the formal banking system, not away from it toward barter; and opening an account is not the same as receiving free monthly cash.

25. (D) The RBI was established in 1935 and Jan Dhan was launched in 2014. The first wrong option swaps the two dates; 1950 (the Constitution) and 1853 (the railways) are distractor years from general knowledge that belong to neither event.

26. (C) An account lets a person save safely and reach formal credit, reducing reliance on costly informal lenders - the heart of inclusive banking. It does not ban borrowing; it widens fair access to it. It does not force risky share investment, and it does not remove the need to save - it makes saving safer.

27. (A) The RBI is the 'banker to banks' - commercial banks keep accounts there, while ordinary people bank at commercial banks. So the child cannot open a personal RBI account at any age. The RBI very much deals with money - it prints currency and regulates banks - so 'does not deal with money' is plainly wrong.

28. (B) The phrase means the RBI does for commercial banks what they do for individuals: holds their accounts and lends to them. It does not chase ordinary depositors as a rival to commercial banks; it is the central bank, not a subsidiary of any commercial bank; and it serves the country's own banking system, not only foreign banks.

29. (A) Printing the nation's currency is the RBI's exclusive role as central bank. Accepting deposits, giving home loans and allowing withdrawals are everyday jobs of commercial banks, where ordinary people bank - the RBI does not offer these to the public.

30. (C) Supervision means regulating and overseeing banks so the system stays stable and trustworthy. It does not mean running each branch day to day; the RBI is not a rival competing for customers; and issuing shares is a stock-market matter, not central-bank supervision.

31. (B) The RBI does not open accounts for individual people - that is for commercial banks - so the school-fee accounts are outside its role. Printing currency, setting the benchmark rate and supervising banks are all genuine central-bank functions described in the chapter.

32. (D) The RBI is the central bank - banker to banks and regulator - not a place for personal accounts, so the student must use a commercial bank. It is not merely a bigger version of one. It is genuinely a bank (the central bank), so 'not a bank at all' is wrong; and since it holds no personal accounts, the interest-comparison option is beside the point.

33. (A) The benchmark rate is what the RBI charges banks; raise it and banks' costs rise, so they lend dearer and borrowing tends to cool. A rise makes borrowing costlier, not cheaper, so the first wrong option reverses the logic. The benchmark rate influences lending broadly, not a single share's price, and the RBI does not fix the price of every product.

34. (D) Inflation is a general rise in prices over time, so money buys less - exactly the falling buying power described. Compounding is interest growing on interest, a savings idea, not a price rise; a dividend is a shareholder's profit; and a benchmark-rate cut is an RBI lending decision, not the price rise itself.

35. (A) If prices race ahead, the same money buys less, quietly shrinking the worth of savings and wages, so the RBI tries to keep inflation in check to protect money's value. Rising prices do not make everyone richer; the value of money matters greatly to daily life;

and the harm of inflation eroding buying power outweighs any interest changes - the chapter frames inflation as a threat to be controlled, not a help.

36. (C) A cut in the benchmark rate lowers banks' borrowing costs, so they tend to lend more cheaply and loan interest can fall - favouring borrowing. A cut lowers, not raises, borrowing costs; the RBI does not set the price of the house; and borrowers pay interest, they do not receive dividends, which go to shareholders.

37. (A) A higher benchmark rate raises banks' costs, so they charge more for loans, cooling borrowing and spending - the trade-off the RBI weighs against fighting inflation. Loans do not become free; the rate and borrowing are tightly linked, not unrelated; and the RBI does not shut the stock market to control prices.

38. (D) Whether by cheque or electronic transfer, the same rupees shift between accounts - the methods differ in speed and convenience, not in what moves. No new money is created by a payment; the shopkeeper receives money, not shares; and modern transfers move account balances electronically, not by mailing notes.

39. (B) Electronic transfers move money between accounts almost instantly, whereas a cheque must be presented and cleared, taking longer - so transfers suit urgent payments. Neither method creates new money; cheques remain a legal payment instrument, so a transfer is not the only legal way; and a cheque orders payment of money, not the movement of shares.

40. (D) A cheque is a paper instrument ordering your bank to pay a named person from your account. An ownership unit with a profit claim is a share; an RBI promise to print money describes neither a cheque nor reality; and a record of added interest is a statement entry, not a cheque.

41. (A) UPI (Unified Payments Interface) moves the same rupees between accounts almost instantly - it is a payment method, not new money. It has not replaced the rupee; barter is goods-for-goods with no money, the opposite of a money transfer; and a share is company ownership, unrelated to paying a seller.

42. (B) UPI is praised as India's own innovation - a fast, smartphone-based payment system admired and taken up beyond India. It was built in India, not copied from abroad; it is digital and modern, not a paper system older than cheques; and the central bank is the RBI, not UPI.

43. (A) UPI shifts existing rupees from her account to the seller's account in seconds - no cash needed. A phone does not print currency; the app moves money, it does not turn an account into shares; and a UPI payment is electronic and immediate, not settled by a posted cheque.

44. (C) A share is a unit of company ownership, traded on the stock market, making its buyer a part-owner. A fixed deposit is money locked in a bank for a term; a cheque is a payment order; and a loan is borrowed money repaid with interest - none confers company ownership.

45. (A) Owning shares makes you a part-owner; 10 of one lakh shares is a tiny fraction, so you own a very small part. You are not the sole owner with so few shares; buying shares makes you an owner, not an employee earning a salary; and a shareholder owns part of the company, unlike a lender who is owed fixed interest.

46. (A) A dividend is the share of profit paid to each shareholder, so that is what you receive. Interest is paid on deposits or loans, not as a profit share to owners; you bought ownership, you did not lend the company money; and a dividend is not a refund of your purchase price - you still keep the shares.

47. (A) Shareholders earn through dividends (a profit share) and through a rising share price they can sell at a gain. They do not get fixed monthly interest or guaranteed refunds - those describe a deposit. They are owners, not salaried employees, and they are not depositors repaid principal plus interest; a share's value can also fall.

48. (B) Banks and stock markets both move and manage money, so both are financial infrastructure. They do not move goods (transport), provide welfare services (social), or carry power (energy) - those are different infrastructure types.

49. (C) Share prices move up and down, so shares carry real risk - they are not a guaranteed grower like a fixed-interest deposit. They do not always grow or never fall; a savings deposit is safe with fixed interest, so it is the safer of the two, not the riskier; and shares and savings are not identical, so the claim cannot stand.

50. (C) A savings or fixed deposit gives Asha safety and a certain return; shares suit Bina's appetite for risk and possible higher gains. Swapping them ignores that shares carry risk and deposits are safe; shares are not always safe, so 'both shares' is wrong; and a fixed deposit does not lose value, so the last option misstates how deposits work.

51. (A) A deposit earns interest the bank states in advance, so its return is known; a share's worth swings with company fortunes and the market, so it is uncertain. The first wrong option reverses which one floats; deposits pay interest and shares may pay dividends, not the same fixed amount; and the RBI does not guarantee share gains - shares carry real risk.

52. (C) No real bank asks for your OTP, PIN or password, so anyone who does is a fraudster - refuse and report on helpline 1930. Reading out the OTP, adding your PIN, or sending money would each hand control to the scammer; the claim that it is 'for your safety' is the very trick used in such fraud.

53. (D) Keeping your OTP, PIN and password private and reporting fraud on 1930 is the safe approach. Writing the PIN on the card hands it to any thief; sharing the OTP with 'bank' callers is exactly the scam, since a real bank never asks; and posting a password anywhere, even to family, exposes it to misuse.

54. (D) OTPs, PINs and passwords are the secret keys to your account; a real bank never requires them from you, so any request for them signals fraud - one principle covering all three rules. Banks do not regularly need them; fraud is not limited to foreigners; and these secrets protect bank accounts and payments, not just share dealings.

55. (A) Medieval moneylenders worked at benches - banca in Italian - giving us 'bank'; a failed one had his banca rotta, a 'broken bench', the source of 'bankrupt'. The root is 'bench', not 'gold vault'; neither word comes from 'cheque' or 'currency'; and the 'to trust' root (credere) gives 'credit', a different word.

56. (B) From settling a debt (an 'end' to it), 'finance' grew to mean managing money: saving, lending and investing. Road-building is physical infrastructure, not finance; printing notes is only the RBI's narrow task, not all of finance; and barter is exchange without money, the opposite of money management.

57. (D) Claim 1 ignores that banks lend most deposits out; claim 2 forgets the RBI is the central bank, where banks - not individuals - hold accounts; claim 3 overlooks that share prices can fall. So all three are wrong, making the count three. Any answer of fewer than three leaves at least one of these well-known misconceptions standing.

58. (D) Compounding earns interest on the growing balance. Year 1: 50,000 grows by 8% (4,000) to 54,000. Year 2: 54,000 grows by 8% (4,320) to 58,320 - the second year's interest is larger because it is figured on 54,000, not 50,000. Adding a flat 4,000 twice (58,000) is simple interest; adding it once (54,000) ignores the second year; and a fixed deposit does grow, so 50,000 is wrong.

59. (A) Compounding works the same on loans as on savings. Year 1: 800 grows by 25% (200) to 1,000. Year 2: 1,000 grows by 25% (250) to 1,250 - the second year's interest is charged on 1,000, so it is larger. Adding a flat 200 twice (1,200) is simple interest; charging once (1,000) drops the second year; and a loan with interest grows beyond the principal, so 800 is wrong.

60. (D) A deposit is safe with a known interest return; a share is an investment that can rise or fall; a loan is money the person must repay with interest; UPI simply moves existing rupees. Not all three grow at one fixed rate - the share has no fixed rate and the loan is a cost, not a gain. UPI moves money, it does not create it. And a loan costs the borrower interest; it does not earn them interest the way a deposit does.